CHARTERED ACCOUNTANTS ACADEMY

AUDTING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 2: AUDITS OF GROUP FINANCIAL STATEMENTS

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1. INTRODUCTION

An auditor may use the work of others who are not necessarily members of the engagement teams. This is especially common in group audits where the group engagement team may place reliance on the work performed by auditors auditing a subsidiary company or associate company.

As part of risk management most entities have established internal audit functions and external auditors may decide to place reliance on the work performed by these internal auditors.

2. Objective of Audits of group financial statements

- Considers whether they can rely on the work of others;
- Identifying a group audit and understanding how group companies affect the audit opinion – including the effect on audit risk, audit strategy and plan.
- Establish appropriate communication with component auditors.
- Designing audit procedures necessary for a group audit.
- Evaluating the use of other auditors within a group audit environment - the work of component auditors.
- Identifying related parties within a group audit.
- Considering related party transactions and audit procedures necessary thereon.
- Evaluating the structure and the work of internal auditors and evaluating its effect on an audit.
- Considering the sufficiency and appropriateness of audit evidence when utilising the work of others.
- Describing the audit reporting responsibilities relating to the use other parties.

3. Scope

ISQM1: Quality management for firms that perform audits and reviews of financial statements and other assurance and related services engagements
ISA 550: Related Parties
ISA 600: Special considerations – Audits of Group Financial Statements (Including the work of component auditors)
ISA 610: Using the work of internal auditors
ISA 620: Using the work of an auditor's expert

4. Study material

CAA Applied Auditing and Governance Module 2 (AUD 402) – Study Unit B

5. Competence Framework expectation

- Provides group assurance services;
- Identifies and considers issues related to accepting a group engagement;
- Follows prescribed procedures to accept the engagement;
- Assesses materiality for the group engagement;
- Identifies and assesses the key risks in the performance of the group engagement;
- Designs effective and efficient procedures based on the engagement's scope and the assessed risks;
- Documents the work performed and its results;
- Evaluates the evidence and draws conclusions;

6. Examination possibilities

This topic can be examined as the auditor having to carry out procedures in light of any aspect of the group audit engagement or as a reviewer reviewing work carried out in any aspect of the group audit engagement.

7. Assumed Knowledge

- Audits of single entities
- The following is assumed knowledge which you should already have at CTA level.
    - IFRS 10
    - IFRS 3
    - IAS 24
    - IAS 27
    - IAS 28

8. Integration

- Pre-engagement activities
- Quality control
- Risk assessment
- Materiality
- Substantive procedures
- Test of control
- Corporate governance

9. Course Notes

9.1. ISA 600: Group audits: Using the work of component auditors

9.2. Group financial statements vs. standalone financial statements

Group	Standalone financial statements
▪ Consolidated financial statements ▪ Don't show investments – have sub's and associates ▪ Each subsidiary/significant component has their own audit ▪ IFRS 3 ▪ IAS 27/28 ▪ Consolidation audit	▪ Audit of investment holding company ▪ Investments in shares (not subsidiaries/associates) ▪ IFRS 9 ▪ Dividends received (from shareholding) ▪ Regular risk based audit

9.3. Key definitions

Component – entity/business activity for which the group/component management prepare financial information to be included in group financials.

Component materiality – materiality level determined by group engagement team, which is relevant to that component.

Component auditor – An auditor who, at the request of the group engagement team, performs work on financial information related to a component for the group audit.

Component management – Management responsible for the preparation of the financial information of a component.

Group wide controls – Controls designed, implemented and maintained by group management over group financial reporting.

Significant component – A component identified by the group engagement team

- That is of individual significance to the group, or
- That due the nature of the circumstances is likely to have significant Risk of Material Misstatement of the group Financial Statement's (can be qualitative as well!)

9.4. Responsibility

- The group engagement partner is responsible for the direction, supervision and performance of the group audit engagement in compliance with professional standards and applicable regulatory requirements.
- The group engagement partner is responsible for the auditor's report that the report issued is appropriate in the circumstances.

9.5. Acceptance and Continuance

- The group engagement partner will apply ISA 220 in determining whether sufficient appropriate audit evidence can be expected to be obtain in relation to the consolidation process and the components' financial information.
- The group engagement partner will be the responsible for agreeing on the terms of the group audit engagement in accordance with ISA 210.

9.6. Group audit report:

- Does not refer to component auditor (unless required by law)
- The group engagement team needs to:
  - Gain an understanding of the group
  - Its components and their environments
  - Identify significant components (scoping exercise)

9.7. Risks related to group financial statements

- Complex accounting
  - Intercompany transactions & balances not eliminated
  - Intercompany profits not reversed out
  - Incorrect consolidating journal entries processed
  - Foreign consolidations
  - Incorrect rates used
  - Incorrect translation performed (different financial statement elements at average/spot etc.)
  - Complex financial instruments (hedges of net investment)
- Subsidiary/associate reporting periods may not be the same?
- Subsidiary/associate accounting policies may not be the same?
- IFRS 3 and related transactions
  - Non-controlling interests and accounting policy choices
  - Implication of Fair value in relation to the above
  - "Consideration" complexities
  - Time value of money
  - Payment in shares
  - IFRS 2 – share options
  - Goodwill/bargain purchase resulting from PPA
  - At acquisition
  - Annual impairment calculation and inherent estimation in the process
- Holding company pressure extorted downward
  - Listed company?
    - Listing requirements
    - Analyst expectations
    - 3rd party reliance
  - Targets to be met?
- Accounting framework of the holding company?
  - US GAAP?
- Compliance with SOX?
- Tight reporting deadlines (company and audit team)
- Related party transactions high risk
  - Not at arm's length
  - Disclosure

- Tax considerations (transfer pricing/exchange regulations)

9.8. Using the work of component auditors:

In a group environment, the auditor of a holding company may need to rely on the audited financial statements of its subsidiaries and associates. The auditors of these subsidiaries and associates are known as component auditors.

To establish whether the audit work complied with ISA's, the auditor would perform the following procedures:

a. Consider the component auditor's:
- Ethical behavior;
- Independence; and
- Competences and the impact of these on reliance to be placed on work.

b. Perform Analytical Review Procedures of the component auditor's financial statements.

c. Discuss the audit with the component auditor.

d. Inform component auditors of the following items:
- Their materiality levels
- Tell components what their materiality level is
- Significant identified risks at the group level which might be relevant to the component in question
- A list of related parties that the group team know of – they also request the component to notify them of any additional related parties not previously identified.

e. Request the component auditors to complete consolidation questionnaires.

f. Request the auditor to provide a summary of issues and how these were resolved.

g. Review the component auditors audit file.

h. Obtain representation from other auditors.

i. The depth and extent of procedures would vary based on the materiality of the work covered.

The auditor would then prepare documentation concerning the depth and extent of the procedures listed above and the conclusion reached. Finally, they would review the component audit report for any modifications and consider the impact of these on the group financial statement.

9.9. Steps in auditing consolidated financial statements in practice

Step 1:
Before consolidation you have to be comfortable with component individual financial statements – conference calls/inspecting Memorandum on Examination

Step 2:
Determine whether financial information identified in component auditors communication is the financial information that is in the "group financial statements"
Agree all information to the signed/audited "consolidation packs" issued by component auditors.
Cast and cross cast all of the above where appropriate.

Step 3:
Check exchange rates used for the translation process

- Will need to recalculate the range of average rates and year end closing rates
- Compare with management's, to assess reasonability
- If appropriate are rates used then recalculate the translation – consider appropriate method in terms of IAS 21.

Step 4:
Adjusting/pro-forma/consolidation journal entry testing

- Eliminated intercompany transactions and balances and profits
- Eliminated investment with correct at-acquisition journal entry
- Correct asset write-off and associated deferred tax due to increases to FV at acquisition
- Correct recognition of Non-controlling interest's portion
- Adjustments for incongruent policies/year ends.

Consider any current year group related transactions and pro-formas.

Step 5:
Total "contribution" of component (after adjustments) is "stacked up" in the entire group financials and agrees with the audited totals from step 4 above.

Step 6:
Perform analytical procedures over all insignificant components and assess the results for appropriateness.

Step 7:
Subsequent events testing and reporting from components.

Step 8:
Agree totals on the consolidation work sheets to the group financial statements.

10.0 ISA 550: Related parties

Introduction

ISA 550 deals with the auditors' responsibility relating to related party relationships and transactions in an audit of financial statement. IAS 24 establishes requirement for entity to disclose related party transactions, balances and relationships. Therefore, noncompliance with IAS 24 by the client results in a Material Misstatement.

Furthermore, related parties, by their very nature, give rise to higher risks of material misstatement due to fraud because of incentives and transactions which might not be completed in the normal course of business or under normal market conditions.

As a result of the above – the auditor has the responsibility to perform procedures to identify, assess and respond to the Risk of Material Misstatement arising from the entity's failure to account for or disclose related party information.

10.1 Overarching principal:

Give users enough information to understand the nature and actual or potential effects of the related party transactions/balances/relationships.

10.2 Responsibilities

Understand relationships and transactions as they might affect the evaluation of fraud risks:

- Consider heightened risk of collusion
- Consider undisclosed related party relationships intentionally being concealed

Plan and perform the audit with professional skepticism.

10.3 Risk assessment Procedures

Discuss amongst team (ISA 315 and ISA 240) – specific consideration of Risk of Material Misstatement due to related party relationships and transactions.

Inquire of management

- Identity of Related Party's
- Changes to Related Party's during period
- Nature of relationships
- Transactions with RP's during period and the purpose of those transactions.

Inherent risks

Gain and understanding of how management:

- Identify, account for and disclose RP relationships
- Authorize and approve transactions with RP's or outside the ordinary course of business.

Control risks

10.4 Assessment of Risk of material misstatements

We should "set" the detection risk i.e. based on the assessment of identified risks. The auditor shall treat identified significant related party transactions outside the ordinary course of business as giving rise to significant risk.

Consider the implications of:

Companies Act (amongst others)

- Directors' interests in contracts
- Loans to Directors
- Financial assistance to acquires shares in a company

Income Tax

Related persons provisions.

10.5 Response to risk of material misstatement

Identification of transactions outside the entity's normal course of business

- Inspect underlying agreement/contract in order to determine:
  - Business rationale
  - Terms of agreement
- Based on terms the transaction has been appropriately accounted for
- Inspect evidence of appropriate authorization of transactions

11.0 STUDY UNIT B PRACTICE QUESTIONS

Question 1

Refer to Study Unit A Scenario

Required

Formulate substantive audit procedures required to obtain sufficient, appropriate audit evidence in relation to consolidation entries for the consolidation of PropFIN into the PropMAX group financial statements. **10 marks**

Solution	
Inspect the minutes of PropMAX' s meetings to ensure there was a directors' resolution to create the PropFIN Special Purpose Vehicle and that the reason to create the SPV was to benefit PropMAX.	**1**
Inspect the MOI of PropFIN to ascertain that the relevant activities of the company is the purchase of mortgages and creation of CMOs.	**1**
Inspect the composition of the PropFIN board to ensure that the majority of directors were placed by PropMAX and that they have the ability to direct the relevant activities of PropFIN (as discussed above).	**1**
Obtain a list of all intercompany transactions between Propfin and Propmax, and inspect that the profit amount of $2 mln and C bonds liability exists on the list.	**1**
Obtain consolidation schedule and inspect on the schedule that all consolidation entries are correct, by verifying to Propfin's financial statements. In consolidated financial statements of Propmax inspect consolidation entries eliminating profit of R20m and C bonds liability/Investment in C bonds.	**1**
Inspect on the consolidation schedule that all entries in the column marked intercompany, are cancelled out to zero in the total column.	**1**
If the balance is not zero, enquire of management the reason for any outstanding amounts.	**1**
Inspect all consolidation journals with regards to Propfin, to confirm that all consolidation entries are correctly put through, and all entries have been recorded.	**1**
Inspect the macros in the consolidation spreadsheet and confirm that it is 100% consolidation of Propfin.	**1**
Use data CAATs to recast the consolidation schedule, and scan the schedule for any unusual entries, which do not match the entries from the intercompany transaction list.	**1**

Question 2

Minefields

You are the audit manager at HotShots Inc. a large audit firm in Zimbabwe and part of the global Big Four audit firms. You have been appointed as the new audit manager on the audit of Minefields Limited, one

of your audit firm's larger clients. Minefields Limited is a diversified mining group with subsidiaries in Australia, Democratic Republic of Congo and Zimbabwe. Minefields Limited has a primary listing on the ZSE Limited, and a secondary listing on the New York Stock Exchange (NYSE).

The following information relates to the audit for the Minefields Limited group for the year ended 31 December 2020.

Working Paper description	**Working Paper reference**
Obtaining an understanding of the group and its operations	K401
Divestment of iron ore assets	L100
Process description – consolidation process	T702

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Client: Minefields Limited	**Year-end**: 31 Dec 2020	**K401**
Prepared by: Tlola Tsele	**Date**: 13 Dec 2020	
Reviewed by:	**Date:**	
Subject: **Obtaining an understanding of the group and its operations**		

Extract from Operations

Minefields Limited has proudly operated in Zimbabwe since 1887, when Cecil John Rhodes and Charles Rudd formed Minefields of Zimbabwe. In 1932, the company began mining the mineral-rich Great Dyke in Mashonaland West province, where it discovered high-yielding gold deposits. A merger between Minefields of Zimbabwe and Sanncor in 1998 led to the formation of Minefields Limited. Today, Minefields Limited is a leading diversified mining company that has built on its Zimbabwean and global reserves of gold, uranium, copper and iron ore to become a truly global miner. The company's group structure is as follows:

Minefields Limited ("ML")

ML is the designated investment and holding company of the group. ML further owns the building which houses the corporate offices of the group. All of the financing and capital requirements of the group are sourced and obtained by ML and distributed to the subsidiaries via intercompany loan accounts. At the date of this working paper, ML stand-alone financial statements contained intercompany loans receivable from each of the subsidiaries, the largest of which was $26.6 million receivable from Minefields (Iron ore) Australia Pty Ltd. ML stand alone and group financial statements are audited by HotShots Inc. Harare.

Minefields (Gold) ZW (Pvt) Ltd ("MGZW")

MGZW is the 100% held flagship gold mine of Minefields Limited. MGZW represents one of the last mega-projects to be built that exploits gold in the great dyke gold fields. The mechanized mine is still in the production ramp-up phase and the current Life of Mine (LoM) is estimated to extend to 2087 (72 years). A new order mining right was granted to MGZW in 2010 which extends to the end of the LoM. MGZW sells all of its ore extracted to its subsidiary Minefields (Uranium) ZW (Pvt) Ltd for treatment and resale. MGZW is audited by the same audit team that audits ML.

Minefields (Uranium) ZW (Pvt) Ltd ("MUZW")

MUZW was initially formed to house the treatment plant for the gold ore produced by MGZW. However, during the early days of production at MGZW, uranium was recovered as a by-product of the gold-bearing ores and even though the concentration of uranium was discovered to be low, the business of selling uranium was economically viable given the market conditions (uranium is used to fuel nuclear power plants and in the development of nuclear weapons). While global demand for uranium has decreased following clampdowns on the developments of nuclear weapons and the Fukushima nuclear disaster in Japan, production of uranium remains economically viable as the cost of recovering gold and uranium are reduced due to a shared treatment process. MUZW continues

to operate the one gold/uranium plant, built strategically so that it is easily accessible from all areas covered by the MGZW mining right. MUZW is audited by the same audit team that audits ML.

Minefields (Copper) Democratic Republic of Congo SARL ("MCDRC")

MCDRC is a copper producing and processing mining operation in the Democratic Republic of Congo ("DRC"), run by ML with the DRC state-owned Gécamines as a minority (44%) partner. Gécamines has increased its stake in MCDRC from 30% to 44% over the last 5 years. In the current year, the nationalization of mines debate has been reignited and Gécamines have suspended increasing their holding in foreign owned mines until the nationalization debate has been resolved. MCDRC is audited by HotShots Inc. Lubumbashi, the DRC-based network company of HotShots Inc. Harare.

Minefields (Iron ore) Australia Pty Ltd ("MIA")

MIA was purchased by ML in 2008 when the outlook for iron ore turned positive and was expected to remain positive in the medium term. MIA showed stellar financial performances from 2008 to 2016 due to increase in the market price of iron ore. The fall of commodity prices, and particularly iron ore, has seen a significant decline in the performance of MIA in 2018 and 2019.ML increased its economic interest in MIA from the original 60% to 68.6% in 2016 and in 2017 to 79.53%. MIA is audited by Bigshots Inc. Brisbane, a fellow Big Four global audit firm.

Client: Minefields Limited	**Year-end**: 31 Dec 2020	**L100**
Prepared by: Terry Token	**Date**: 13 Jan 2021	
Reviewed by:	**Date:**	
Subject: Divestment of iron ore assets		

Part disposal of subsidiary

MIA's financial performance has deteriorated with the decline in iron ore prices with the company posting losses for 2016 and 2017. Due to the continued fall in the price of iron ore and reduced demand, in June 2019, ML entered into a deal to sell part of its investment in MIA, reducing the shareholding from 79.53% to 36.47%. The sale was effective on 30 June 2020 and the purchase price included the settlement of the inter-company loan payable to ML. See press article below.

Minefields disposal of iron-ore assets 'will cut risk profile'

BY FISO YAKIRAN, MAY 13 2020, 06:10

NEW YORK — Minefields Limited has sold its iron-ore assets and is focusing on its gold and copper operations for the benefit of its shareholders. The producer of minerals in Australia, Democratic Republic of Congo and Zimbabwe raised $46.6 million selling loss-making assets, reports said.

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"While a 43% reduction in the investment in iron-ore assets is a step in the right direction, a disposal of the entire iron-ore portfolio would be a game-changing transaction, strengthening the balance sheet, reducing the risk profile of the group and potentially enabling a substantial rerating," analysts said in response to the sale. Iron-ore prices reached a decade low of $47/tonne on April 2 before rebounding to $59/tonne. Old Mutual forecasts prices will average $55/tonne this year before rising to $80/tonne by 2023.

Minefields, which owned about 80% of Minefields (Iron ore) Australia (Pty) Ltd, Australia's fourth-largest producer of the steel-making raw material, last October halted shipments from its mine in Queensland as prices slid after the largest producers including BHP Billiton expanded capacity amid slowing demand from China.

"Even in today's depressed environment, we argue that a total exit from iron ore might still offer the best value for Minefields Limited shareholders," the analysts predicted. "The investment presents a risk to the group if iron-ore prices slip further." Minefields could use funds from the sale for dividends and to increase its investments in gold and copper. Iron-ore assets may attract buyers from China, the analysts said.

Bloomberg

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Client: Minefields Limited	**Year-end**: 31 Dec 2020	**T702**
Prepared by: Tinker Table	**Date**: 29 Feb 2021	
Reviewed by:	**Date:**	
Subject: **Process description – consolidation process**		

Consolidation process

The consolidated financial statements of Minefields Limited are prepared using IFRS. Minefields Limited has a functional and presentation currency of US$. All of the companies in the ML group have a year end of 31 December. Group finance staff at ML prepare the consolidated financial statements manually on excel.

A pre-designed excel Reporting Pack is sent to each of the subsidiaries to complete. ML requires that Reporting Packs be completed following an audit process at each subsidiary and should be returned to ML by the end of February 2021 accompanied by an audit opinion. Pre-designed Reporting Packs contain the required disclosure for preparation of the ML consolidated financial statements.

MCDRC's accounting records are in DRC GAAP and finance staff at MCDRC are required to first convert the accounting records to IFRS before completing the Reporting Pack. MCDRC and MIA Reporting Packs are reported in their functional currency being the Congolese Franc and Australian Dollars respectively. The consolidation spreadsheet is set up to first translate foreign subsidiaries into US$ before continuing with the consolidation process. Once consolidation journal entries (including journal entries on investments in associates) are prepared and reviewed the consolidation is finalized. The completed consolidation worksheet is used to prepare the consolidated financial statements.

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You are required to:

a) Compile an email to BigShots Inc. requesting the audited information you would need them to provide to you regarding the partial disposal of Minefields (Iron ore) Australia (Pty) Ltd. Your answer should not contain detailed audit procedures. **(5 marks)**

b) In relation to the partial disposal of Minefields (Iron ore) Australia (Pty) Ltd, discuss the accounting treatment in the consolidated financial statements of Minefields Limited and formulate the procedures you would perform to test the profit or loss on the partial disposal in the consolidated financial statements of Minefields Limited. **(15 marks)**

c) Formulate the audit procedures you would perform to test the consolidation spreadsheet of Minefields Limited for the year ended 31 December 2016. (Your answer should include pre-consolidation procedures but exclude procedures that have been covered in part c)).

(18 marks)

Adapted from CAA CTA fulltime Test 2 2015

Solution

a)	**Compile an email to BigShots Inc. requesting the audited information you would need them to provide to you regarding the partial disposal of Minefields (Iron ore) Australia (Pty) Ltd. Your answer should not contain detailed audit procedures.**	**5**
	Changes in the composition of the BoD following the partial disposal that will confirm that control has been lost.	**1**
	Changes in key management personnel making the operating and financial decisions of MIA that will indicate the loss in control.	**1**
	Share information of MIA showing the proportion of shares held by ML in MIA is only 36.47% .	**1**
	Information on whether production of iron ore has ceased or if production continues and only shipment has ceased.	**1**
	Detailed information on the impairment considerations of management and any impairment charges posted.	**1**
	Audited reporting pack for the six-months ended 30 June 2020.	**1**
	Detailed document (such as a memorandum on examination) which explains all of the significant transactions which occurred, the significant audit risks and how Bigshots responded to those risks.	**1**

b)	**In relation to the partial disposal of Minefields (Iron ore) Australia (Pty) Ltd, discuss the accounting treatment in the consolidated financial statements of Minefields Limited and formulate the procedures you would perform to test the profit or loss on the partial disposal in the consolidated financial statements of Minefields Limited.**	**15**
	<u>Accounting for the MIA disposal</u>	
	The partial disposal of MIA is a loss of control (investment reduced from 79.53% to 36.47%) and should be accounted for as a disposal of a subsidiary	**1**
	All the assets and liabilities should be derecognized from the consolidated statement of financial position	**1**
	Any goodwill relating to the acquisition of MIA should be derecognized	**1**
	The carrying amount of any NCI should be derecognized	**1**
	The remaining investment in an associate of 36.47% should be recognized at its fair value at the date of disposal.	**1**
	The gain or loss on disposal should be recognized in P&L attributable to the parent	**1**
	<u>Audit procedures</u>	
	Obtain the contract for the disposal and confirm the following through inspection: • That it relates to ML's disposal of 43% of the shares of MIA • That the consideration is $46.6 million • That the consideration includes settlement of $26.6 million loan of MIA owing to ML • That it is signed by ML and the purchaser	**1** **1** **1** **1**

	Obtain Management's calculation of the disposal and assess whether the disposal was treated per IFRS 10 requirements above.	**1**
	The following procedures should be performed on the consideration: • Inspect ML bank statements for the receipt of $46.6 million and agree this to the consideration per management's calculation to confirm accuracy. • Recalculate the fair value of the investment in associate (remaining 34.67% investment) and agree this to management's calculation to confirm accuracy. Recalculate the NCI at 30 June 2020 and agree this to management's calculation to confirm accuracy.	**1** **1** **1**
	The following procedures should be performed on the net assets of MIA: • Obtain information from BigShots Inc. as per part a) above and agree the results for the 6 months ended 30 June 2020 to the carrying value of the subsidiary to confirm valuation. • Assess whether the results for the 6 months ended 30 June 2020 have been appropriately adjusted for impairment as a result of cessation in shipments. • Inspect that goodwill has been appropriately derecognized first in the event of impairment to confirm accuracy.	**1** **1** **1**
	Recalculate the profit or loss on disposal of the subsidiary and agree to management's calculation.	**1**
	Agree the profit or loss calculated to the statement of profit or loss to confirm accuracy.	**1**
	Inspect the consolidated financial statements and ensure that the disposal of MIA has been appropriately disclosed in the notes.	**1**

a)	**Formulate the audit procedures you would perform on the consolidation work sheet of Minefields Limited. (Your answer should include pre-consolidation procedures but exclude procedures that have been covered in part c)).**	**18**
	Pre-consolidation procedures	
	Obtain the instructions sent by ML to its subsidiaries regarding the reporting requirements for the consolidation	**1**
	Inspect the details that are provided in the group reporting packs to confirm whether, from a group audit perspective, they include the level of detail we require to adequately perform the consolidation audit procedures.	**1**
	Formulate instructions to HotShot Auditors Lumbumbashi requesting audited reporting packs to be reported directly to you.	**1**
	Gain an understanding, through enquiry of management, as to how they newly implemented group consolidation module actually works, including which staff are able to process pro-forma entries.	**1**
	Consolidation procedures	
	Obtain signed and audited packs for MGZW, MUZW and MCDRC directly from the auditors of those entities.	**1**

	Agree the figures used for MGZW, MUZW and MCDRC in the consolidation workings to amounts per the audited reporting packs. Follow up on any differences with the group finance team.	**1**
	Inspect the consolidation worksheet to confirm that MGZW, MUZW MCDRC and ML subsidiaries have been included – this will confirm completeness of the worksheet.	**1**
	Inspect the consolidated worksheet to confirm that MIA has been excluded from the consolidation.	**1**
	Agree the prior period consolidation journal entries to the prior year audited consolidation worksheet and ensure that no adjustments have been made to prior period numbers.	**1**
	Inspect the consolidation worksheet to confirm that the performance (p&l /cash flows) of MIA has only been consolidated until June 2020.	**1**
	Obtain the average exchange rate for AUD to US$ for the 6 months ended 30 June 2020 from a reputable financial institution.	**1**
	Obtain that 6-month Profit or loss of MIA from the audited reporting pack and recalculate the amounts from AUD to US$ using the 6-month average exchange rate, compare to amounts recorded in the consolidation worksheet.	**1**
	Obtain the following Congolese Franc and US$ exchange rates from a reputable financial institution • Average rate for the year ended 31 December 2020 • Closing rate as at 31 December 2020	**1**
	For all rates obtained, compare to the rates used by management to confirm that their rates are reasonable. If they are not, discuss further with management.	**1**
	Re-perform the translation of MCDRC Statement of Financial Position from Congolese Franc into US$ at the closing rate and agree to the consolidation worksheet.	**1**
	Re-perform the translation of MCDRC Statement of P&L and OCI from Congolese Franc into US$ using the average rate and agree to the consolidation worksheet.	**1**
	Recalculate equity at the historic rates from prior year files and spot rates for any transactions during the year.	**1**
	Recalculate the FCTR and compare to management's calculation to confirm it is accurate.	**1**
	Re-perform casting of the consolidation for all relevant statements and notes (SOFP, SOCI, SOCF) for all columns within the consolidation worksheet.	**1**
	Inspect whether inter-company loans from ML to the subsidiaries are eliminated on consolidation.	**1**
	Inspect that sales from MGZW to MUZW are eliminated on consolidation.	**1**

	Obtain information from the reporting packs and recalculate the consolidation journal entry on unearned profit on sales between MGZW and MUZW are eliminated on consolidation.	**1**
	Recalculate the at acquisition entries for the investment in MIA as an associate, including the fair value allocation of assets and liabilities.	**1**
	Obtain and audited reporting pack from BigShots Auditors and recalculate the share of profit in associate.	**1**
	Confirm with BigShot that no dividends have been declared or paid by MIA.	**1**
	Assess any impairment indicators of BigShot and consider if this could impair the value of the Investment in Associate.	**1**
	Perform an analytical reasonableness test of the consolidated numbers and verify for reasonability in light of the understanding of the overall business and significant components.	**1**
	Discuss with management their process for their annual impairment calculation for goodwill, if applicable.	**1**